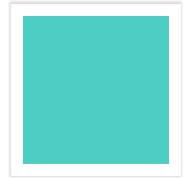
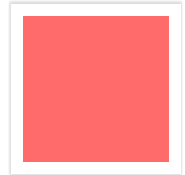


Pricing decisions and adjustment strategies



New Product

Skimming pricing
Penetration pricing



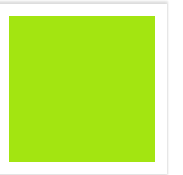
Price adjustment (1)

Discount pricing
Segmented pricing
Psychological pricing
Promotional pricing



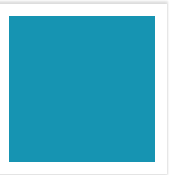
Product mix pricing

Product line pricing
Optional product pricing
Captive product pricing
Product bundle pricing



Price adjustment (2)

Dynamic pricing
Geographical pricing
International pricing



Apiradee Wongkitrungrueng, Ph.D.

Pricing situations & strategies



Pricing decisions are subject to a complex set of factors e.g. company, competitor, environmental forces

Things become more complex as costs/demands change over time as products move through their life cycle

As firms have multiple product items/lines, they do not set a single price but a pricing structure

Firms also apply additional price adjustment strategies to attract customers and earn profit

Pricing strategies are chosen to attract the target market and allow pricing objectives to be met

- ❑ Pricing throughout the life cycle stage)
 - ❑ Product mix (pricing structure, rather than single price)
 - ❑ Price Adjustment (reflecting changes in cost/demand, variations in buyers and situations) - short term tactics
- 

1. New product pricing

Market-skimming pricing

i.e. market-plus pricing

High price

Aim: Profit-oriented

- Image, Quality
- Price insensitive
- Little or no competition

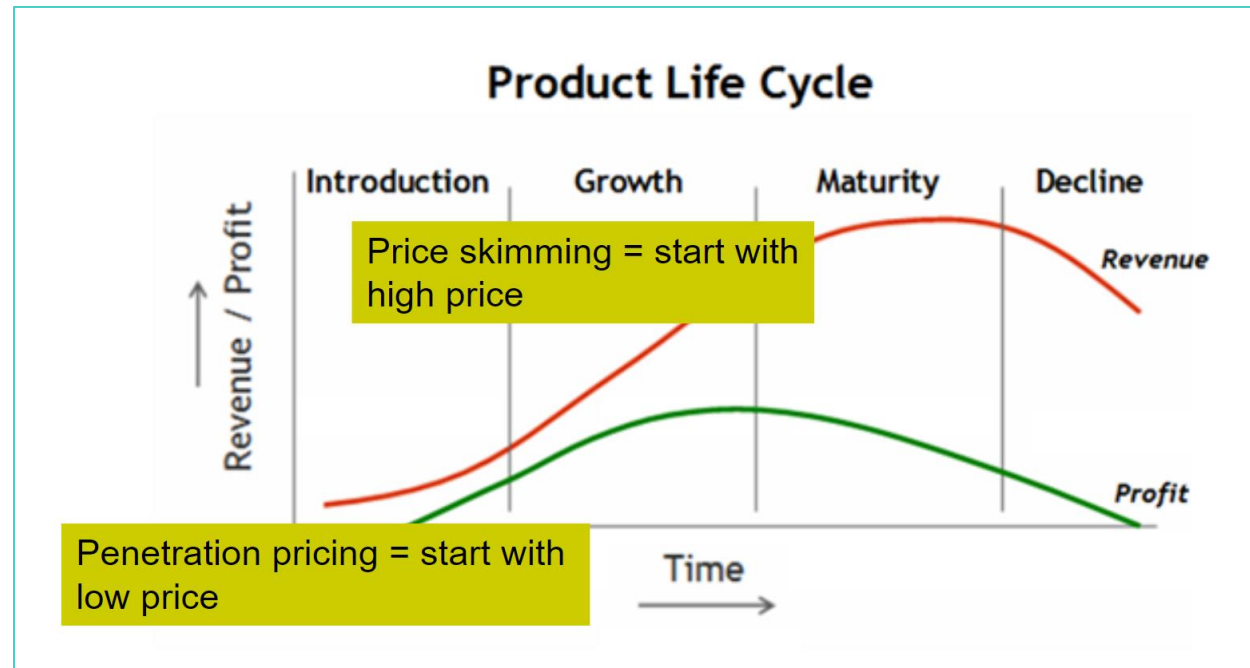
Market-penetration pricing

i.e. market-minus pricing

Low price

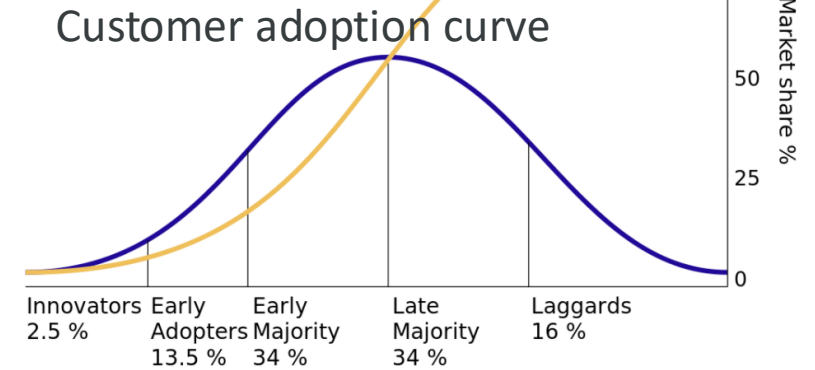
Aim: Market share

- Mass market products
- Price sensitive
- High competition



1.1 Price Skimming

- Setting a high price to skim maximum revenue from segments willing to pay high price.
- The company make fewer (low volume) but more profitable sales
 - Sony HDTV was priced at \$43,000 in 1990. \$6,000 (28-inch) in 1993, then \$1,200 (40-inch) in 2007
 - Apple iPhone's initial price was \$599, 6 months later, price dropped to \$499 (\$399) for 16GB (8GB) model, within a year, price dropped to \$299 and \$199, and \$99
- Objectives
 - A market-entry price
 - To quickly cover high R&D costs e.g. medicine
 - To reap profit when there is little or no competition e.g. hi-tech
 - Control demand (matching with production capacity) in the introductory stages. Low price could lead to fulfillment problems and dissatisfaction
 - Market higher-end goods throughout product's lifecycle
 - Enhance brand image e.g. Cartier
- Advantage: theoretically can get the maximum profit from each level of customer
- Disadvantage: Attracts competition



Suitable conditions

Product conditions

- Product quality and image must support high price
- Products that create excitement amongst 'early adopters'
- Little or no substitutes available
- Products with short life cycles or which will face competition at some point in the future
 - PlayStation, digital technology, new DVDs, etc.

Market conditions

- Product is sold to different market segments at different times
 - Demand likely to be inelastic (no close substitutes). Potential buyers are insensitive to price.
 - Sufficient number of buyers want the product at that price
 - Unit costs of producing a small volume are not so high that they cancel the advantage of charging more
 - Competitors should not be able to enter the market easily and undercut high price
-

1.2 Penetration Pricing

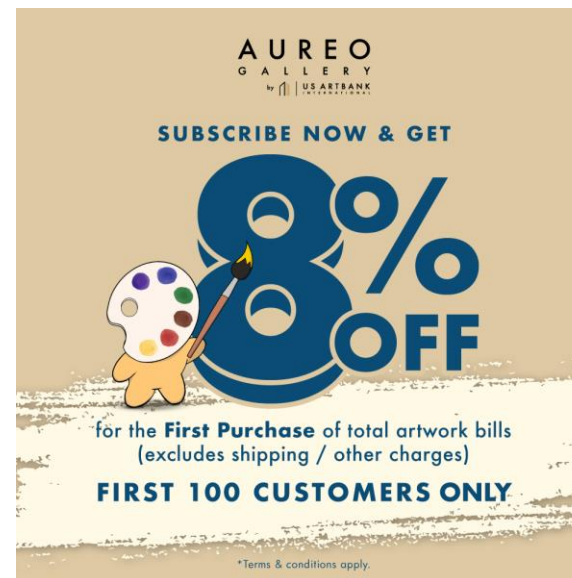


- Setting a low price for a new product to attract a large number of buyers and a large market share.
 - High sales volume results in falling costs and further price cut
 - Sony's Blu-Ray vs. Toshiba HD-DVD to be the standard disc format. In 2006, Sony cut the Blu-ray's price, added Blu-ray disc drive in the PS3, and sold PS3 below the production cost. Gamers can use PS3 to watch Blu-ray movies. Toshiba gave up in 2008.
 - Objective
 - Market Entry:
 - To penetrate market quickly and deeply
 - To move from an unknown brand to a recognized brand
 - Success depends on generating many trial purchases
 - When recognized, firm increases prices to the level of competing products
 - Penetration may extend throughout lifecycle to maintain a reputation as a low-price competitor
 - 25% of companies use this approach on a regular basis
 - Advantage: fast diffusion and adoption. Discourage the entry of competitors
 - Disadvantage: Low profit margin. Long-term price expectation and image preconception that is hard to raise price
- 

Penetration pricing vs. Introductory price dealing

- Penetration pricing is not the same as introductory price dealing, in which marketers attach temporary low prices to new products when they first hit the market.
- These *temporary* price cuts should not be confused with low penetration prices.
- The plan [with introductory price dealing] is to raise prices as soon as the introductory offer is over."

Ex: special price for the first week, first-time, first 100 customers



Examples

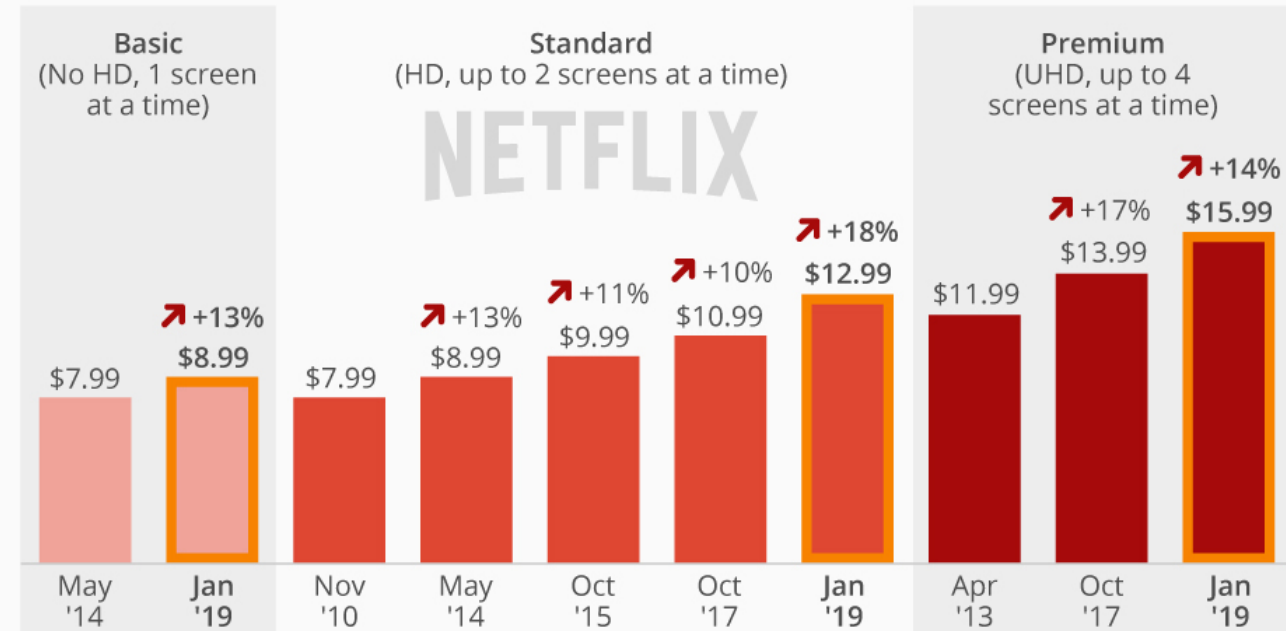
IKEA in China

- First opened in 2002, people crowded to get freebies
- IKEA stocked Chinese-made products and dropped the price (70% below), the lowest in the world, by stocking China-made products
- Now captures 43% market share. Attract 6M visitors a year.
- Employees need to use megaphone to keep them in control

In 1998, users could rent 4 movies at a time with no return-by dates for \$4+\$2 postal charge, where Blockbuster charged about \$4.99 for a single, three-day rental. In 2000, they offered a monthly subscription of \$15.95 for unlimited rentals without due date, late fee, shipping fee

A Brief History of Netflix Price Hikes

Changes in price of a Netflix subscription in the United States*



Suitable conditions



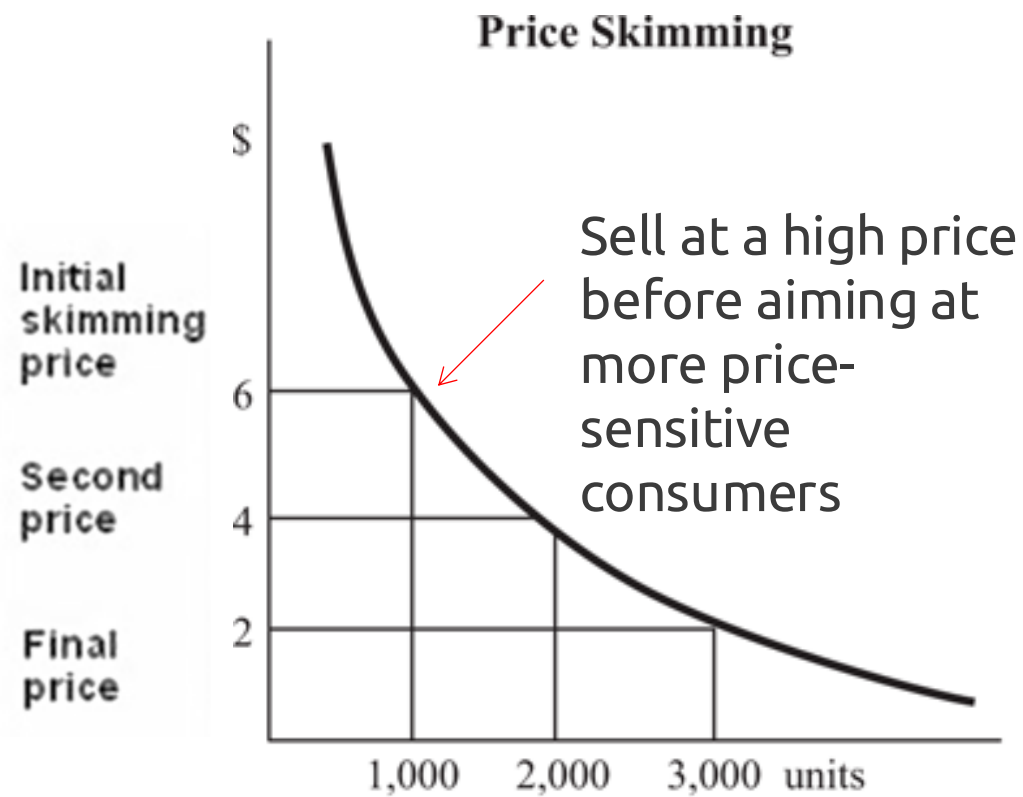
Product conditions

- Typical in mass market products – chocolate bars, food stuffs, household goods
- Offering is not unique enough to be protected from competition
- Suitable for products with long anticipated life cycles

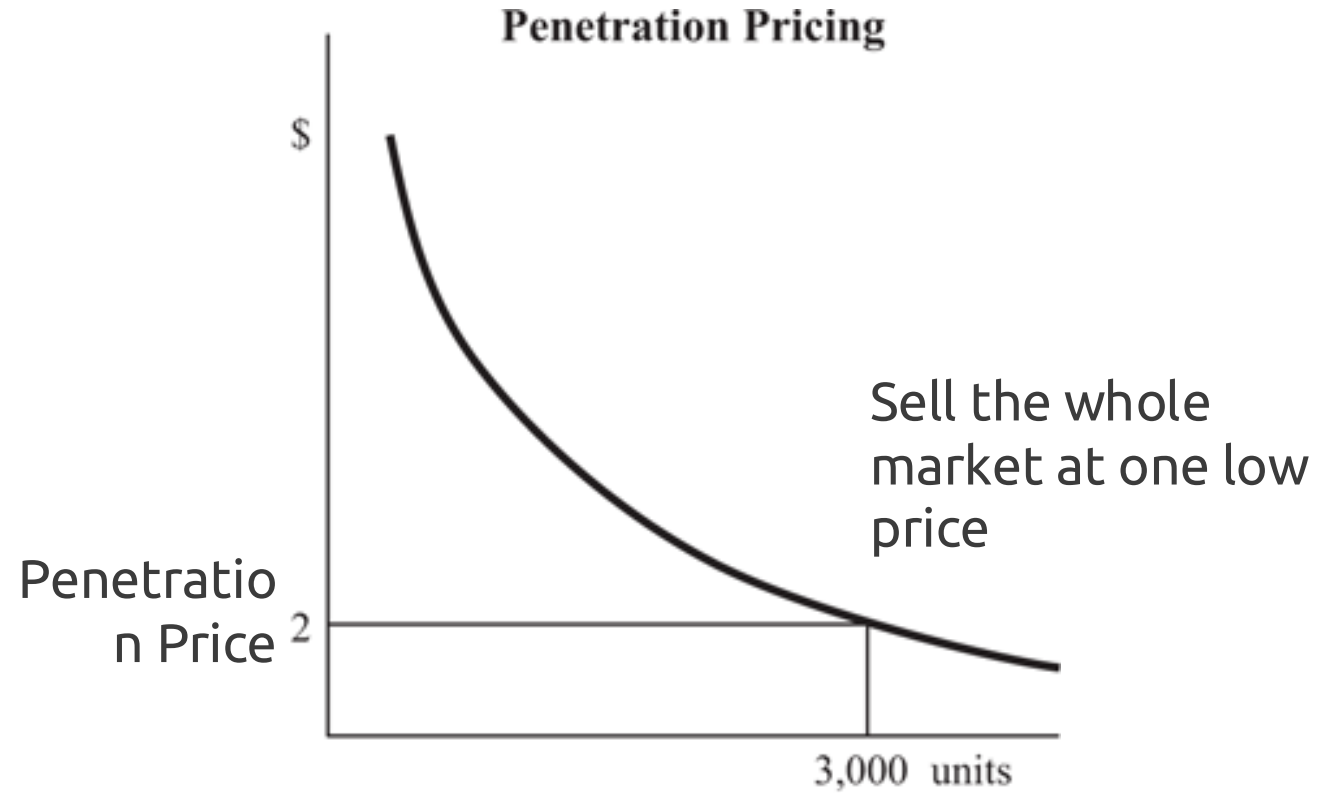
Market conditions

- Highly elastic demand, large no. of price sensitive consumers
 - No distinct price-market segments
 - Large-scale production result in low production costs
 - Low initial prices discourages actual/potential competition
 - Competitors expected to enter market quickly
- 

Skimming vs. Penetration



$$\begin{aligned} \$6 \times 1,000 &= \$6,000 \\ \$4 \times 1,000 &= \$4,000 \\ \$2 \times 1,000 &= \underline{\$2,000} \\ &\mathbf{\$12,000} \end{aligned}$$



$$\$2 \times 3,000 = \mathbf{\$6,000}$$

Price Change



- **Price cuts**

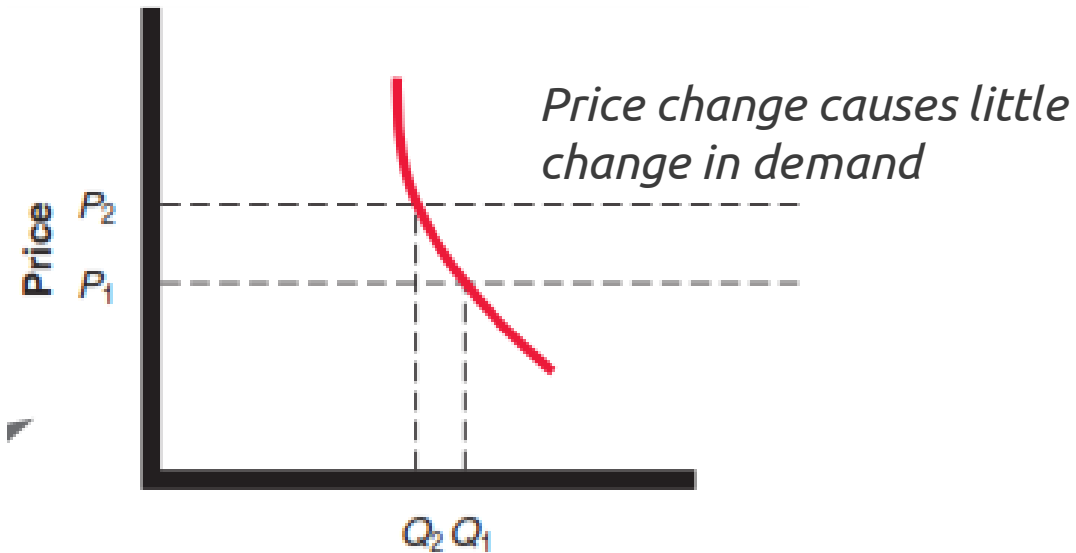
- Falling sales or market share – demand issues
- Grab market share from competitors
- Respond to competitor's price drop, better product
- Lower production/service costs
- Economic condition – low purchasing power

- **Price increase**

- Over-demand, lack of supply
 - Match competitor's price increase
 - Cost inflation
- 

Price Elasticity of Demand

(a measure of sensitivity to price change)



A. Inelastic demand

- Demand is less affected by price change.
- Essential Products
- e.g. Gasoline, Veg oil, Water



B. Elastic demand

- More likely to buy when price drop.
- Not necessity e.g. pizza
- Durable products e.g. mobile

Price Elasticity

Elastic demand

Price changes from \$10 to \$9.

$$\$10 - 9 = \$1$$

1/10 = 10% change in price

Demand changes from 2,700 per month to 3,100 per month

	3,100
	<u>- 2,700</u>
Increase	400 pizzas

Percentage increase $400/2,700 = .148 \sim 15\%$ change in demand

Price elasticity of demand = $\frac{\text{percentage change in quantity demanded}}{\text{percentage change in price}}$

$$\text{Price elasticity of demand} = \frac{15\%}{10\%} = 1.5$$

$E > 1$: Elastic demand. Change in price causes opposite change in total revenue (Price $\downarrow$ = Revenue $\uparrow$)

$E < 1$: Inelastic demand. Change in price causes same change in total revenue (Price $\downarrow$ = Revenue $\downarrow$)

Factors affecting elasticity of demand

Nature of commodity	• Necessities (less elastic)
Availability of close substitute	• Have substitutes (more elastic)
Number of uses	• The more different uses a particular good has, the more elastic
Proportion of total expenditure	• The larger the proportion of a consumer's income spent on that good, the more elastic
Level of income	• The higher income, the lower the elasticity
Habit	• Habitual purchase is less elastic
Time period	• In the long run, the demand is more elastic
Urgency of purchase	• Running out of gas, the demand is inelastic

Elastic/Inelastic Demand

Product/service	Elastic vs. Inelastic demand
Gas from a single gas station	
Sky train (BTS)	
Taxi/Airline	
Concert ticket	
Soft drink	
Specialty Coffee Drinks	
COVID-19 Vaccine	

Perceived
necessity
or a
luxury?

Portion
of a
person's
budget?

Availability
of
substitutes?

Reactions to price change

- **Buyers' reaction**

- For most products, as price goes up, quantity demanded goes down, the change depending on price elasticity
- For prestige products e.g. luxury cars, jewelry, a price increase may result in more demand
- Price cuts
 - Models are not selling well
 - Quality issues
 - New models will be available
- Price increases
 - Product is "hot" (+)
 - ❖ TAG Heuer raised the average price of its watches from \$250 to \$1,000, and its sales volume jumped sevenfold.
 - Company greed (-)



Every year, Louis Vuitton burn all their unsold bags. They burn them in order to prevent them from being priced lower.

- **Competitors' reaction**

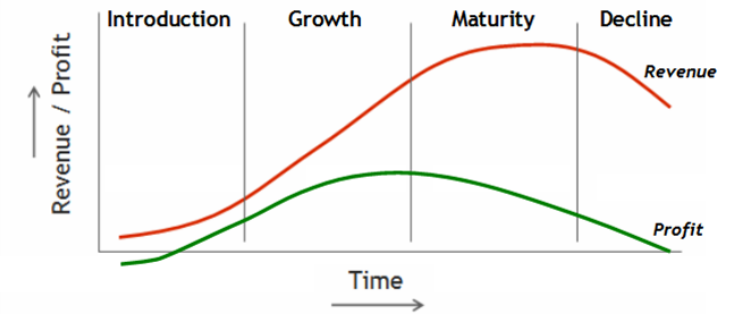
- Competitors are more likely to react to price changes under certain conditions.
 - Number of firms is small
 - Product is uniform
 - Buyers are well informed
- A firm must guess each competitor's reaction

Respond to a competitor's price change

	Increases	Cuts
When to follow	- Rising costs - Excess demand - Price-insensitive customers - Price rise compatible with brand image - Harvest or hold objective	- Falling costs - Excess supply - Price-sensitive customers - Price fall compatible with brand image - Build or hold objective
When to ignore	- Stable or falling costs - Excess supply - Price-sensitive customers - Price rise incompatible with brand image - Build objective	- Rising costs - Excess demand - Price-insensitive customers - Price fall incompatible with brand image - Harvest objective
Tactics	- Reducing product size - Unbundling the product (separately price options, remove features, services) - Eliminating discounts - Adding high-priced units to the product line - Communicate to customer and justify why they should raise the price	- Reduce price - Raise perceived value - Improve quality and increase price - Launch low-price fighter brand

Pricing in the product life cycle

Product Life Cycle



Introduction

One of two strategies is used

- Price skimming = start high (profit)
- Price penetration = start low (market share)

Adjust prices in later stages based on how you started

Growth

Prices stabilize because

- Sales increase due to growing demand but attract competitors
- Product's started to appeal to a broader, lower-income market
- Economy of scale lowers cost. Savings can lower price.

Decline

Maintain or cut prices to stimulate sales, to clear inventory, compete with remaining rivals.

Price cut may not help stimulate demand much.

Abandon unprofitable segments, focus on cow/star.

Improve product, change position, increase price

Maturity

Further price decrease due to increased competition. Inefficient, high-cost firms are eliminated.

If price increases, it is cost initiated. High costs of serving the segmented market

In the late maturity, price reduction won't help. Due to limited demand, and similar costs, competitors tend to match prices

Product mix pricing

Pricing is difficult as various products have **related demand and cost**, and face different degrees of competition

The firms set prices that **maximize the profit on the total product mix** rather than a single product



Pricing Situation	Description
Product line pricing	Setting prices across an entire product line
Optional product pricing	Pricing optional or accessory products sold with the main product
Captive product pricing	Pricing products that must be used with the main product
By-product pricing	Pricing low-value by-products to get rid of them
Product bundle pricing	Pricing bundles of products sold together

1. Product Line Pricing

- Sony TV
 - TV LED (8,900 THB)
 - TV Full HD (9,900-16,990 THB)
 - TV OLED (59,990-99,990 THB)
 - TV Full array LED (32,990-299,999 THB)
 - TV 4K UHD (19,990-159,999 THB)
 - TV 8k (299,999 THB)
- Setting the **price steps** between various products in a product line based on *cost differences, customer value of different features, competitors' prices*
 - Firms offer a choice of price-quality levels – the good-better-best choice
 - Consumers normally associate **low, average, high** perceived quality/quantity with different price points.
 - A firm must establish perceived quality/quantity differences that support the price differences.
 - Price steps should not be too close, nor too far.



iPhone 5 (S)

iPhone 5 (C)



16GB \$199
32GB \$299
64GB \$399

16GB \$99
32GB \$199



המחיר	iPhone 5S	iPhone 5C	iPhone 5
16GB	22,900 - 23,900	9,900 - 10,900	16,900
32GB	25,900 - 26,900	12,900 - 13,900	19,900
64GB	28,900 - 29,900	15,900 - 16,900	22,900
128GB	31,900 - 32,900		

Features	iPhone 5S	iPhone 5C	iPhone 5
Display	4" Retina	4" Retina	4" Retina
Camera	8 MP iSight	8 MP iSight	8 MP iSight
	f/2.2 aperture	f/2.4 aperture	-
	120fps @ 720p HD video recording	LED flash	LED flash
	Sapphire crystal lenscover	-	-
	True Tone Flash	-	-
Thickness (Depth)	7.6mm	8.97mm	7.6mm
Memory	16, 32, 64 GB	16, 32 GB	16, 32, 64 GB
RAM	1 GB (purportedly)	1GB	1GB
CPU	A7	A6	A6
GPU	M7	PowerVR SGX	PowerVR SGX
Battery	10 hrs (3G, LTE)	10 hrs (3G, LTE)	8 hrs (3G, LTE)
	250 hrs standby	250 hrs standby	225 hrs (standby)
Extra Features	TouchID fingerprint recognition	Multiple colors	-
Price	\$199-\$399 (Contract)	\$99-\$199 (Contract)	Discontinued
	\$649-\$849 (contract-free)		



McDonald's French Fries

Size S – 29 baht

Size M – 68 baht

Size L – 76 baht

Size XL – 84 baht



Decoy pricing aims to guide a potential customer towards a specific product by presenting an inferior choice.

- a slightly lower product price but with a much lower quality product, or
- a much higher price with a slightly higher quality product.

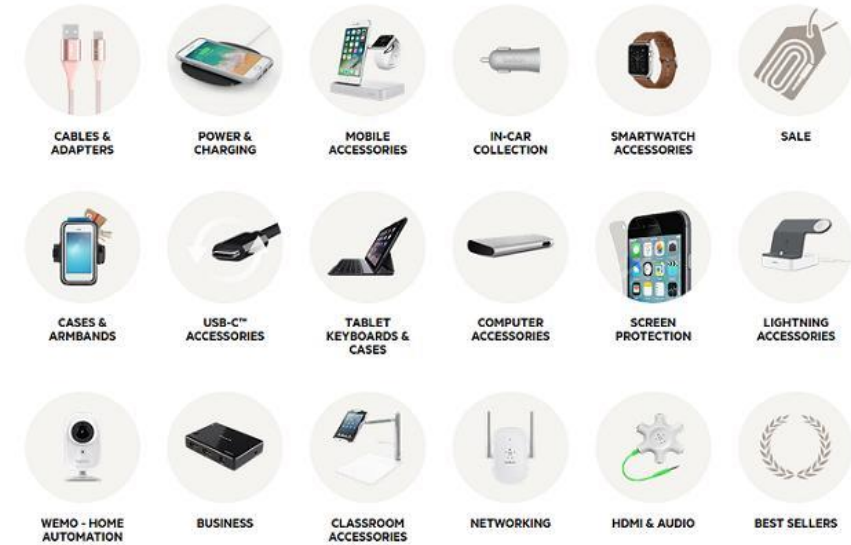


QLED 8K

2. Optional product pricing

- Optional or accessory products along with the main product
- Car options
 - Exterior: color, smart entry, sunroof
 - Interior: color, LED lighting, premium leather, wood interior
 - Safety: Lane-keeping assist, automatic braking, adaptive cruise panoramic view,
 - Amenity: apple carplay, android auto, intelligent parking assist
- Challenge: a firm must decide which item to include in the base price and which will be charged.

Apple Accessories



\$700 extra for Yellow Metallic

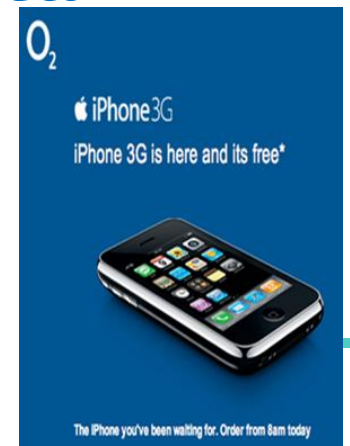


\$4000 for Lexicon speaker system



3. Captive/Complementary Product Pricing

- This involves products that must be used with the main product. **The value of the supporting product, necessary for main product operation is high.**
- Price the main products (printer, razor, game console) low ; set high markup on supplies (ink cartridge, blade, game)
 - Sony launch PlayStation (PS3) for \$499 (lost \$300 per unit) and PS3 games for \$60 a game. Sony has yet to earn back its loss.
 - Amazon Kindle Fire tablet computer was priced at \$199 when competitive models were priced at \$499. Amazon figured out that selling e-readers was just an entry point. It turns a large profit by selling e-books to Kindle owners.
 - Free/discounted cell phones when signing up for a long-term contract
 - A firm must find the right balance between the price of main and captive product



3. Two-part pricing

- ❑ Captive product pricing in service
 - ❑ A **fixed fee** is charged upfront for the right to use/buy the service (lifetime/annual membership, entrance fee)
 - ❑ A **variable usage rate**: an additional fee is charged for each unit the consumer wishes to consume (e.g. additional fee for food/drink, amenities, special exhibition)
 - ❑ Fitness, sport club, amusement parks, theater, mobile service, museum
- ❑ The service firm must decide how much to charge for the basic service and how much for the extra. This requires an understanding of how different customers feel about the “extras”.
 - (1) **lower the entry fee and raise the price of extras: high-value customers are interested in the extra.**
Ex: museum (entry fee vs. special exhibition fee), restaurant (main course vs. wine/alcohol), Kindle vs. e-book, movie theater (movie vs. Popcorn), printer vs. Ink cartridge
 - (2) **raise the entry fee and lower the price of extras: low-value customers are interested in the extra.**
Ex: amusement park (entrance fee + free rides)



Premier Membership	
No Commitment month-to-month	
Joining Fee*	\$150.00
Admin Fee*	\$70.00
Weekly Rate**	\$26.95
Get Results Pack	\$74.95
* Payable on joining. Admin fee is non-refundable. ** Debited fortnightly.	
Fitness First	



4. Buffet pricing

- For a fixed entry fee, consumers can consume an unlimited quantity during a specified period of time.
- The price charged to a consumer is independent of the quantity consumed (the cost of serving people varies)
- To gain profit, manage cost and revenue
 - Explore average spending
 - Prices are further segmented based on time, quality
 - Manage costs with
 - Variety of menu
 - High cost items filled less often, cut into smaller portion
 - Small plate/utensil, large glass



Examples

- Buffet (1.5-2 hrs)
- Rail/Subway fares (weekly/monthly pass)
- Movie ticket (290/690 THB weekly/monthly)
- Botox/carboxy injection (freq/time limit)
- Internet package (speed limit)
- Museum visits/learning courses (revisit, retake the course)

5. Bundle pricing



- Component products/services are offered as a package and at a reduced price
 - McDonald's (burger, fries, drink),
 - TRUE (mobile, Internet, cable),
 - Microsoft Office (Access, InfoPath, OneNote, Publisher)
- Pure Bundling: can buy only the entire bundle or nothing.
- Mixed Bundling: can buy its components separately e.g. select flavor of your choice
- Help promote the slow-moving products, but prices must be low enough



1 bottle: \$2.70



2 bottles: \$4.90

Price Adjustment Strategies



Companies usually adjust their basic prices to account for various customer differences and changing situations

Strategy	Description
Discount and allowance pricing	Reducing prices to reward customer responses such as paying early or promoting the product
Segmented pricing	Adjusting prices to allow for differences in customers, products, or locations
Psychological pricing	Adjusting prices for psychological effect
Promotional pricing	Temporarily reducing prices to increase short-run sales
Geographical pricing	Adjusting prices to account for the geographic location of customers
Dynamic pricing	Adjusting prices continually to meet the characteristics and needs of individual customers and situations
International pricing	Adjusting prices for international markets

1. Discount and Allowance Pricing

Price reduction to reward customers for certain responses



Cash discount

Discounts given to cash, early or prompt payments



Quantity discount

Discounts given to those who buy large volumes



Off-season discount

Discounts given to products or services that are out of season



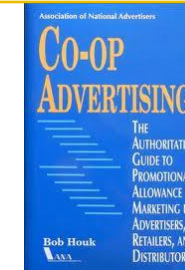
Trade-in Allowances

Discounts given for turning in an old item and buying a new one (common for durable goods like a car)



Trade discount

Discounts given by manufacturers to resellers



Promotional Allowances

Payment or discounts given to gain reseller participation in special programs

2. Segmented Pricing



- Adjust the basic prices to allow for differences in customers, products, and locations
 - Company sells a product/service at two or more prices, even though price difference is not based on cost difference
 - i.e. **Differentiated Pricing, Price Discrimination**
 - Different types
 - Customer-segment pricing
 - Product-form pricing
 - Image pricing
 - Location-based pricing
 - Channel-based pricing
 - Time-based pricing
 - Pricing based on service needs, benefits sought
- 

2.1 Customer-segment pricing

- Different customers pay different prices for the same product/service
 - Age
 - Infant (less than 2 years old)
 - Children with height lower than 90 cm or under 5 years
 - Senior citizens (age 60 years)
 - Occupation
 - Students (age not over 23 years)
 - Government officers
 - Income/employment
 - Poor
 - Unemployed
 - Physical conditions
 - Disabled
 - Heavy weight (Fat tax)
 - Gender: Boy pays more for car insurance
 - Ethnic: Foreigners/tourists vs. Local/residents

อัตราค่าเข้าชมนิทรรศการถาวร
Ticketing:

ประเภทบุคคล	อัตราค่าเข้าชม (บาท)	
	แบบบุคคล	แบบกลุ่ม 5 คนขึ้นไป
นักเรียน/นักศึกษา Students	50	25
ผู้ใหญ่ Adults	100	50
ชาวต่างชาติ Foreigners	300	150

ยกเว้นค่าเข้าชมสำหรับเด็ก คนชรา ผู้พิการ พระภิกษุ และบิดรพิศดักแด

นครชัยแอร์
NAKHONCHAI AIR

ซื้อตั๋วนครชัยแอร์

ราคาตั๋วเด็ก

ส่วนสูง 130 ซม. ขึ้นไป
ซื้อตั๋วในราคาปกติ (มีที่นั่ง)

ส่วนสูง 90 -130 ซม.
ซื้อตั๋วราคาตั๋วเด็ก (มีที่นั่ง)

ส่วนสูงน้อยกว่า 90 ซม.
เดินทางฟรี (นั่งตัก)

1624 www.nakhonchaiair.com @nakhonchaiair



Price varies
with in lap
/own seat,
domestic/
inter flight



แพ็คเกจ สำหรับข้าราชการ, รัฐวิสาหกิจ,
อาจารย์ และนักศึกษา

เริ่มต้นเพียง

159บ.

ลูกค้า One-2-Call!
เปลี่ยนมาใช้
เอไอเอส 3G รายเดือน
รับสิทธิ์ได้ทันที

An advertisement for AIS 3G service. It features a man and a woman in uniform, both holding mobile phones. The text is in Thai and English, highlighting a special offer for government employees, university staff, and students. The price is listed as 159 Baht per month.

Additional
service
should be
offered to
justify
higher
price



Samoa Air, Introducing a world first:

'Pay only for what you weigh'!

We at Samoa Air are keeping airfares fair, by charging our passengers only for what they weigh. You are the master of your Air'fair', you decide how much (or little) your ticket will cost. No more exorbitant excess baggage fee's, or being charged for baggage you may not carry. Your weight plus your baggage items, is what you pay for. Simple.

The Sky's the Limit!

- The rates range from \$1-\$4.16 per kg. based on the route
- Three 17-inch seats was replaced by two 20-inch.
- Extra-large people can buy XL seats at added costs.
- On a typical 737 flight, a 50-pound weight increase would increase fuel consumption by about \$3 to \$5.

Fat tax

Aircraft only have weight to sell. The heavier a plane is, the more fuel it burns through.



2.2 Product-form pricing

Different versions of the product are priced differently but not according to differences in their costs



34 oz.
\$1.59

5 oz.
\$11.39



13 oz.
\$2.91



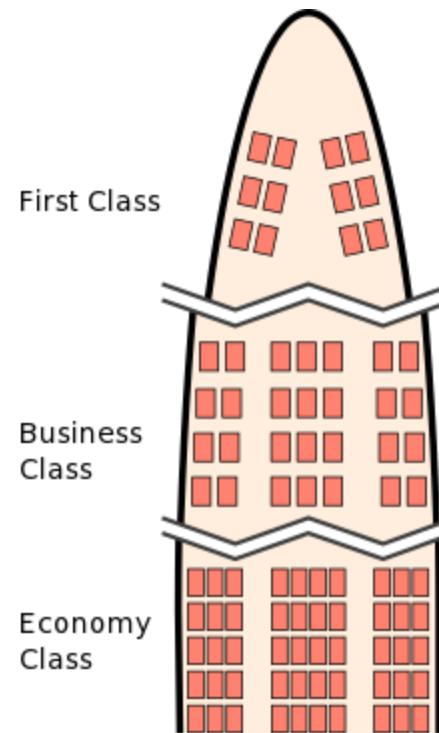
0.35 oz
\$1.79



2.3 Service level pricing

- **Classes of service**

- target different audiences
- price according to each market's perceived value & willingness to pay
- Airline
 - First-class, business class 5-20 times more expensive than Economy class, though (variable) costs not much different



- **Service time or speed**

- Shipping services
 - One hour/Same day (rush or express delivery)
 - Next business day
 - 2 business days
 - 5 business days based on distance to destinations



2.4 Image Pricing

The same product is priced at two different levels based on image differences



20 baht vs.
90 baht



Package/Display



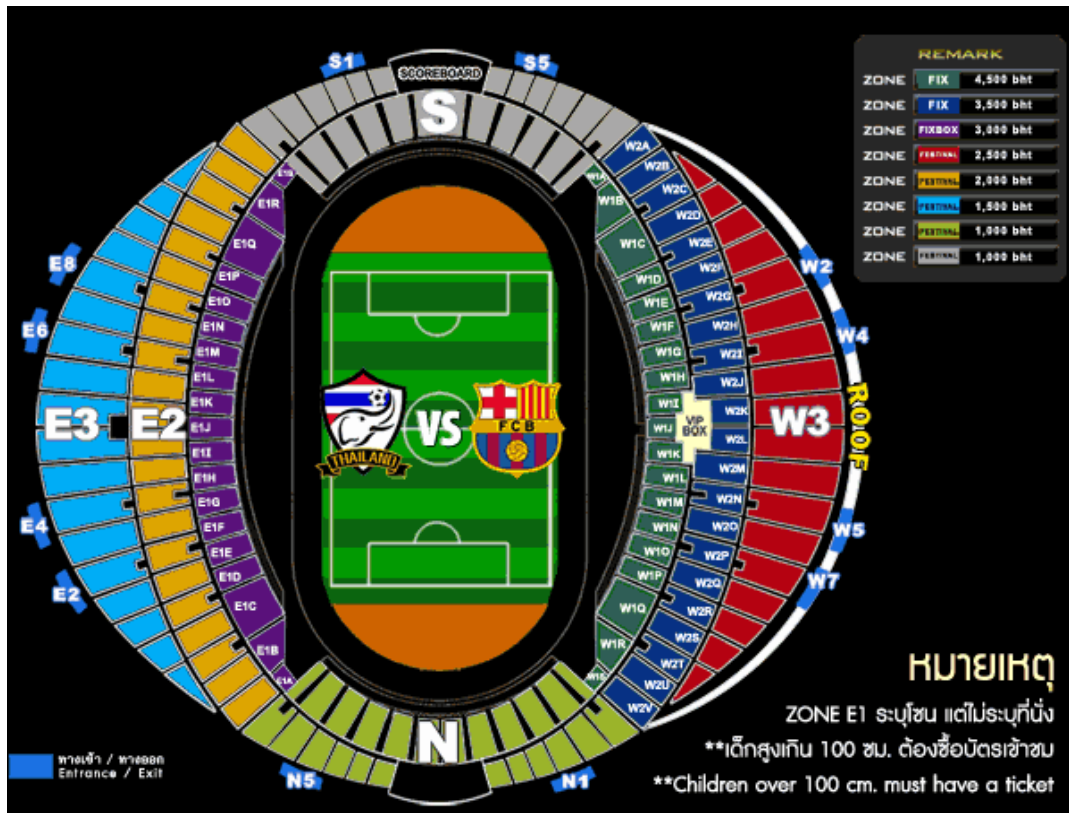
Presenter



Name

2.5 Location-based pricing

- Different prices for different locations, even though the cost of offering each location is the same
- Consumer different preference for certain locations in theater, concert hall, sport field, railway, hotel rooms (sea view)



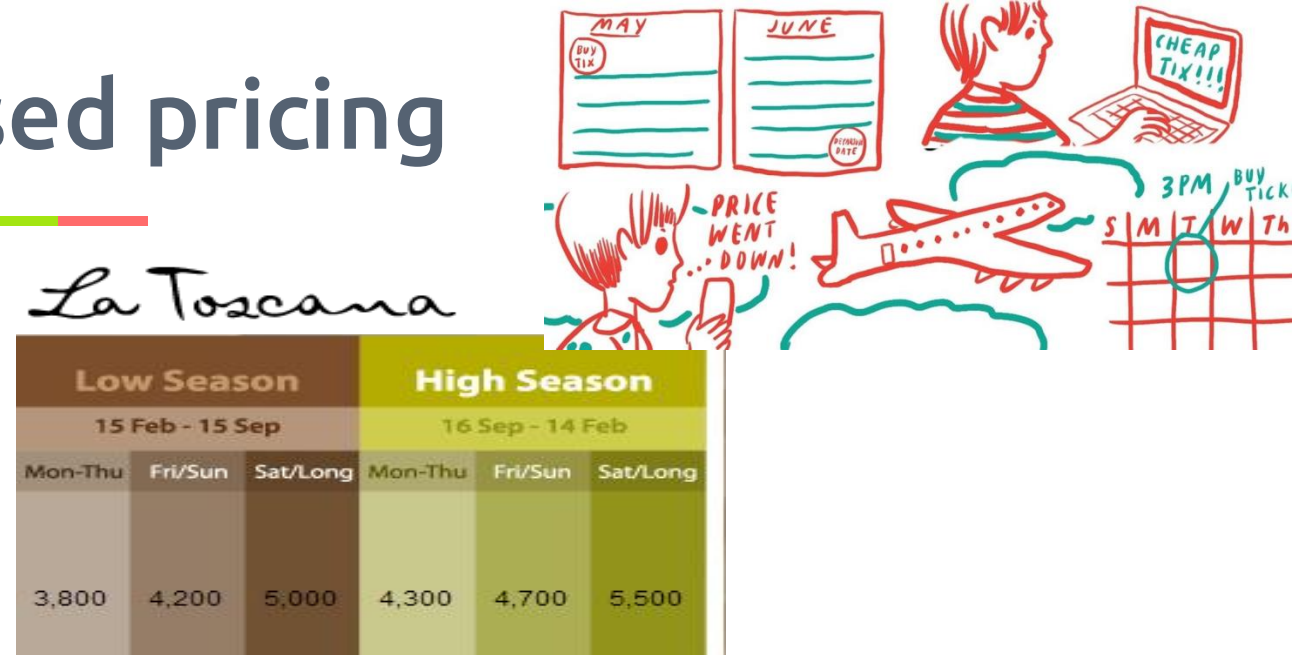
2.6 Channel-based pricing

- A product is priced depending on where it was purchased
- Water/Soft drink
 - Supermarket (pack): 5 baht
 - Food court: 10 baht
 - Restaurant/resort/airport: 15-50 baht
- Pork/Vegetable
 - Local market
 - Supermarket
- Online vs. Offline
 - Money transfer between banks.
Fee is higher at the counter than online.
- This reflects cost and image difference



2.7 Time-based pricing

- A firm varies its price by the season, the month, the day (week day/weekend), and time (morning/afternoon/evening/night)
- The rational background is expected or observed change of the supply and demand balance during time



Got time?
Watch movies at a discount!
Matinee pricing in full swing at

SM CINEMA
www.smcinema.com

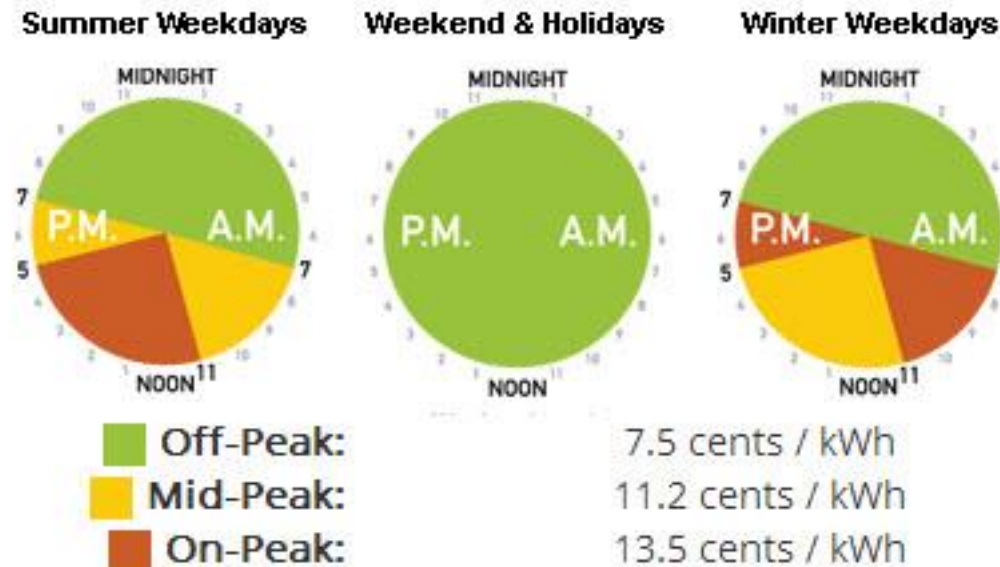
Enjoy
30%-50% discount on tickets!
on select movies

Monday - Thursday
10AM - 2PM screenings
Promo Period: January 21 - April 18, 2013

Participating SM Cinema branches:
Luzon: Baguio, Marikina, Marikina, Sta. Rita, Sta. Rita, San Lazaro, Marikina, Pangasinan, Clark, Norzagaray
Mindanao: Cebu, Davao, Zamboanga, Davao
Visayas: Cebu, Davao, Zamboanga, Davao

For DB-PCS point # 10884 sales of 83.2
Visit www.smcinema.com or call 476-0222

Time-of-Use Pricing Structure



HAPPY HOUR!

**Monday to Friday
4.00pm to 5.00pm**

On weekdays from Monday to Friday make calls to any local number from 4pm to 5pm and pay only **HALF PRICE!!!**

*Prepaid Customers Only!
*Promo ends Thursday March 31st, 2011

bluesky

Call 699 2759 or *611 from your BlueSky phone for more information
www.facebook.com/blueskysama

Suitable Conditions



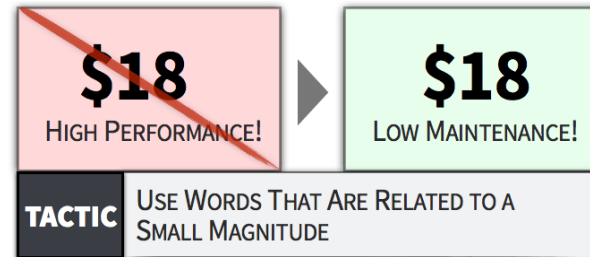
- Market must be segmentable, and segments must show different degrees of demand
 - **Segmented pricing must reflect real differences in buyers' perceived value**
 - Those pay higher see the value, not feel being overcharged
 - Those pay lower not being ignored or treated poorly
 - **Costs of segmentation cannot exceed revenues earned from the price difference**
 - Lower priced segments are not able to resell to higher priced segments
 - Textbook International edition
 - Competitors cannot undersell segments charging higher prices
- 

3. Psychological Pricing

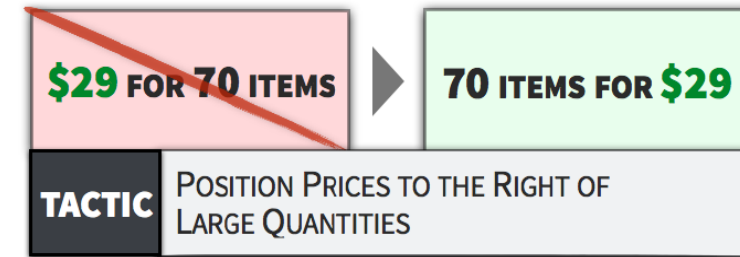
A pricing tactic that takes advantage of a customer's emotional response to certain price points in order to enhance sales prospects. Tactics include lowering the perceived magnitude of your price and maximizing the perceived magnitude of reference prices



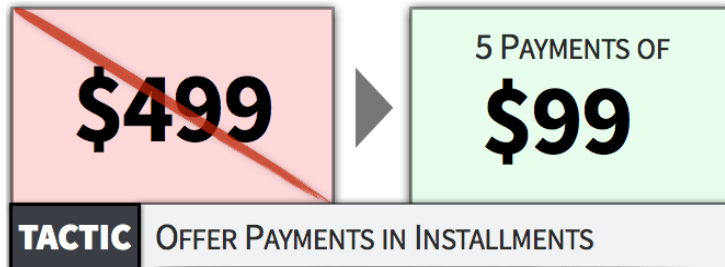
TACTIC REDUCE THE LEFT DIGIT BY ONE



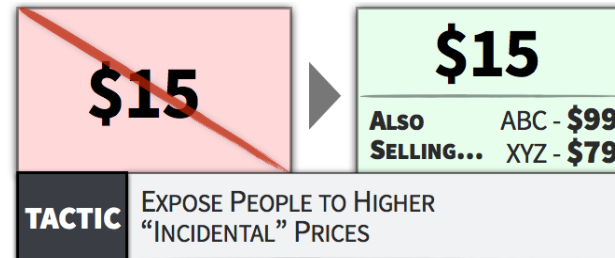
TACTIC USE WORDS THAT ARE RELATED TO A SMALL MAGNITUDE



TACTIC POSITION PRICES TO THE RIGHT OF LARGE QUANTITIES



TACTIC OFFER PAYMENTS IN INSTALLMENTS



TACTIC EXPOSE PEOPLE TO HIGHER "INCIDENTAL" PRICES



TACTIC EXPOSE PEOPLE TO ANY HIGH NUMBER



TACTIC DISPLAY PRICES IN A SMALLER FONT SIZE



TACTIC SORT PRICES FROM HIGH TO LOW



4. Promotional Pricing



- Temporarily pricing to increase short-run sales /reduce inventory

Loss-leader pricing	• drop price below cost to stimulate store traffic, create excitement, urgency
Special-event pricing	• special price in certain seasons to draw in more customers
Cashback	• refunds a small percentage of money spent on purchases
Low-interest financing	• lower the monthly payment
Longer payment terms	• stretch payment over longer periods and thus lower the monthly payment
Warranties and service contracts	• free or low-cost service
Psychological discounting	• set an artificially high price and then offer product as substantial savings

4.1 (Loss) leader pricing

- Product offered to consumers at slightly above (leader price) or below cost (loss leader) to attract customers to stores in the hope that they will buy other items at regular price, and overall profit is generated.
- Bait pricing: illegally deceptive practice of baiting customers with unrealistically low prices to bring them into the store, and then trying to sell them higher-priced goods on the pretext that the advertised bargain-priced goods are sold out





4.2 Special-event pricing



- Advertised sales or price cutting linked to a holiday, season, or event to draw more customers
- Large-screen TVs and other consumer electronics are promotionally priced in November/December to attract holiday shoppers into the stores



\$135 Regular price
\$15 Instant rebate
(One per household)
After-rebate price: \$120

COMPUTER SOUND SYSTEM X3
ESW-C8 200-watt subwoofer
R34 speakers

- CHI CHANG**

15 ก.ค. 63 - 17 ก.ค. 63



20% COINS CASHBACK

ไม่จำกัดมูลค่า



*ใช้ร่วมกับโปรโมชั่น SHOPEE COINS ไม่ใช้ร่วมกับโปรโมชั่นของร้านค้าอื่นได้สูงสุด 20% COINS CASHBACK เท่านั้น
 (ใช้ได้กับร้านค้าที่เข้าร่วมโปรโมชัน 1 ครั้งต่อหนึ่งสิทธิ์ ตามเงื่อนไขของแต่ละร้าน)

4.4 Psychological discounting

- Setting a price at a specified level and **comparing it with a higher price**
 - previous price
 - price of competing brand
 - price at another outlet
 - manufacturer's suggested retail price (MSRP)
- Set an artificially high price and offer product as **substantial savings**



Fortis

Fortis Men's 623.22.15 K Automatic Art Edition Mattern Watch

Be the first to review this item

Price: \$2,200.00

Deal Price: **\$549.99** FREE One-Day Shipping & Free Returns. [Details](#)

You Save: **\$1,650.01 (75%)**

LG Digital TV LED 43" 43LF540T

ยี่ห้อ LG | เพิ่มเต็มทีวีจาก LG เป็นคนแรกที่แสดงความคิดเห็น



ประเภทของการรับประกัน: รับประกันศูนย์ LG 1 ปี

- 43" LED
- หน้าจอระดับ Full HD
- ความละเอียด 1920 x 1080 พิกเซล
- Time Machine Compatible
- แสดงภาพ 50 ภาพต่อวินาที

11,290 บาท

ราคาปกติ 1,799,000-บาท,
ประหยัดทันที 99%
ราคาโปรโมชั่นสามารถใช้ได้ถึง 4/2/2016

ลด 99%

ใส่ตะกร้า

หรือ

[Express Checkout](#)

วิธีการสั่งซื้อ

ทีวี 43" ราคา 1.8 ล้านบาท !!!!

Store raise prices before sales



Before discount: 3,290
30% off: 2,303



Original: 2,990
So the discount is 23%

Other promotion

**Buy One,
Get One**

Free

*No Limit! Hurry!
Offer Expires Soon!*



1,000.-

Argan Oil 10 ml.

**0%
Interest**

2 FOR 1 ADMISSION

WITH THIS COUPON

ADULTS \$1 KIDS 12 & UNDER FREE
OPEN EVERY FRIDAY, SATURDAY & SUNDAY
10AM-6PM

1-2 Terms **8 Years to Pay**

THE 97-Month Car Loan

\$31,032* **\$460 a month****

**Lifetime
Lifetime Warranty
Warranty**

FREE SHIPPING

WEDNESDAY

30 MARCH

From all European boutiques on farfetch.com. Click for the full details

**+ FREE RETURNS
WORLDWIDE***

WITH OUR NEW COLLECTION SERVICE

*FOR A LIMITED PERIOD

FREE GIFT

WITH EVERY PURCHASE!

SEE STORE FOR DETAILS

THIS WEEK ONLY!

SHOP NOW!

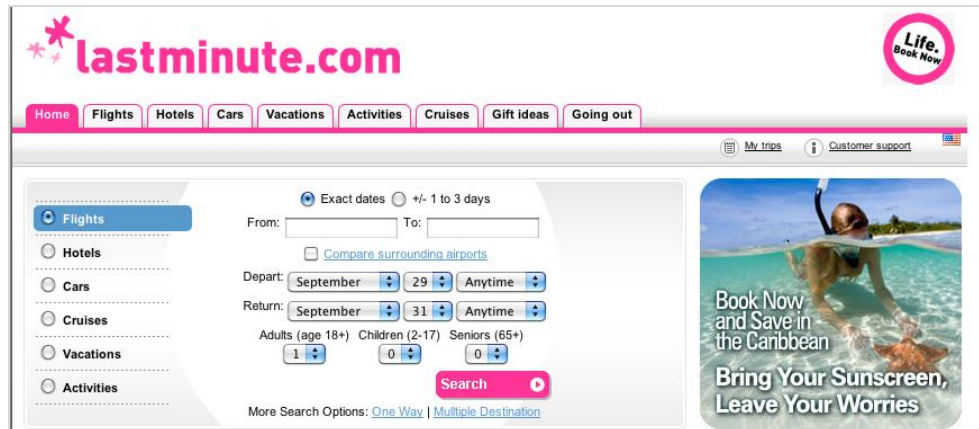
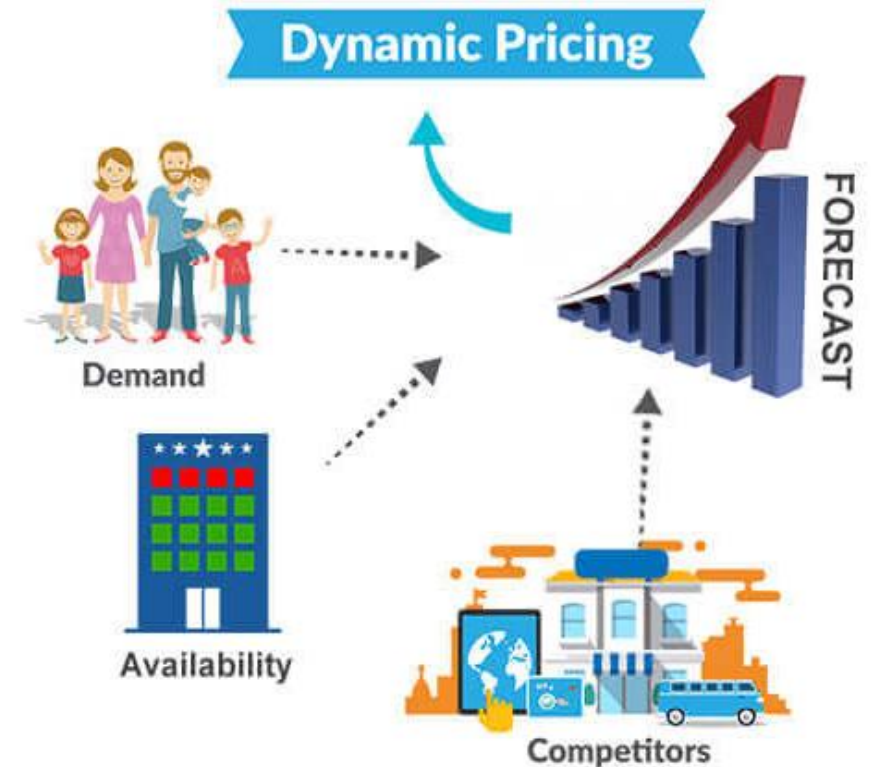
Promotional Pricing Drawbacks

- Easily copied by competitors
- Creates deal-prone consumers
- May erode the brand's value
- Not a substitute for effective strategic planning
- Frequent use leads to industry price wars which benefit only a few firms

Companies should balance short-term sales incentives against long-term brand building

5. Dynamic Pricing (real-time pricing)

- Adjust price continually based on changing circumstances e.g. demand-supply, competitor's price, and purchase behaviors.
 - Airline ticket is priced based on the time you book, the expected demand, the number of seats left, departure time, avg. cancellation
 - Sport ticket's fee varies with the date of the game, date of purchase, popularity of the opponent, the winning likelihood, the weather
- The firm uses this strategy to increase revenue and profits
 - Fill an unoccupied or cancelled places or fill the sales quota
 - Capture those willing to pay higher price



DYNAMIC PRICE MODEL



FACTORS



Travel Time



Booking Fees



Distance



Real-time
Demand

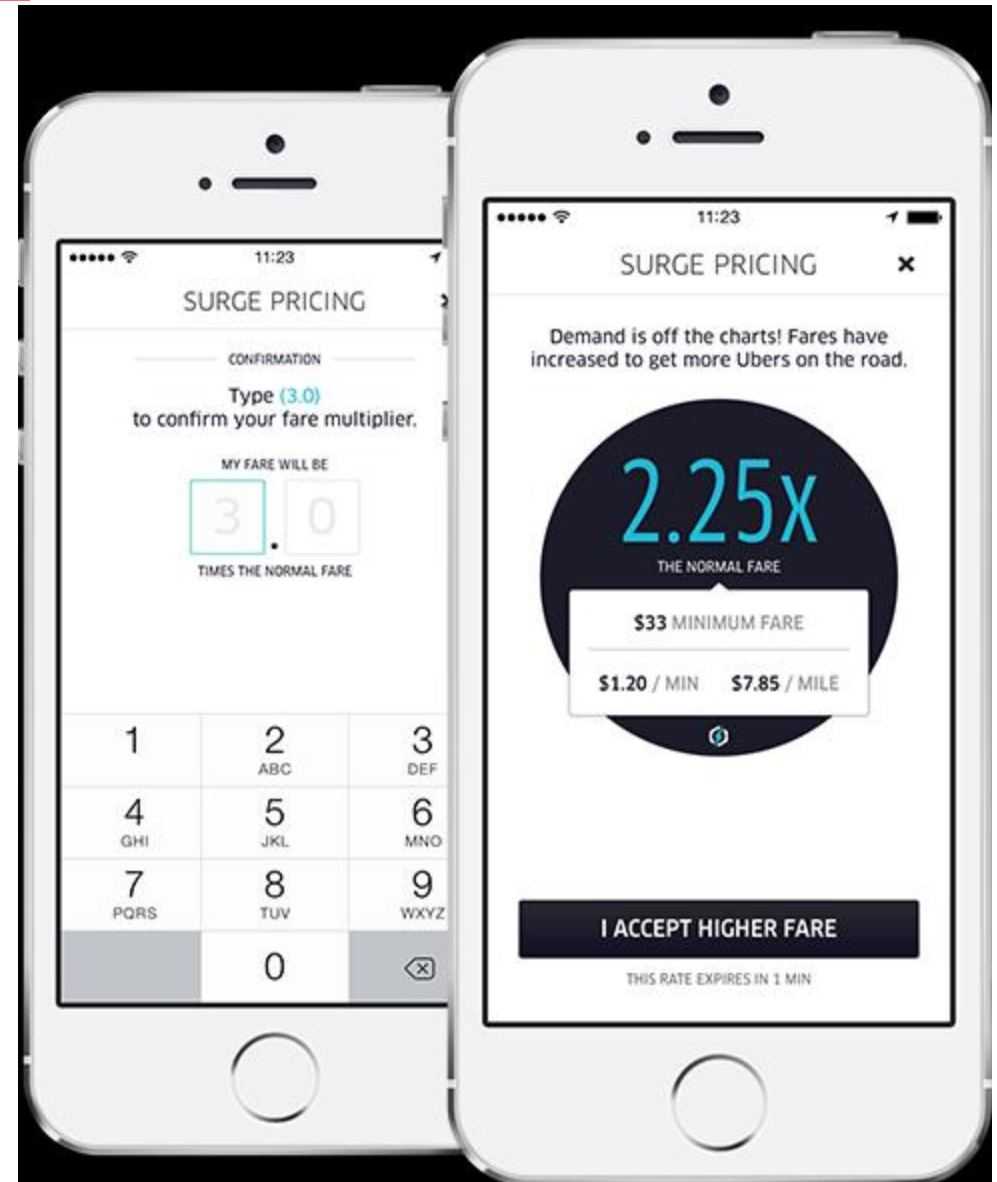


Taxi Availability



Location and
Time-based
surcharges

A base fare is multiplied by a multiplier



5.1 Time of use (peak usage pricing)



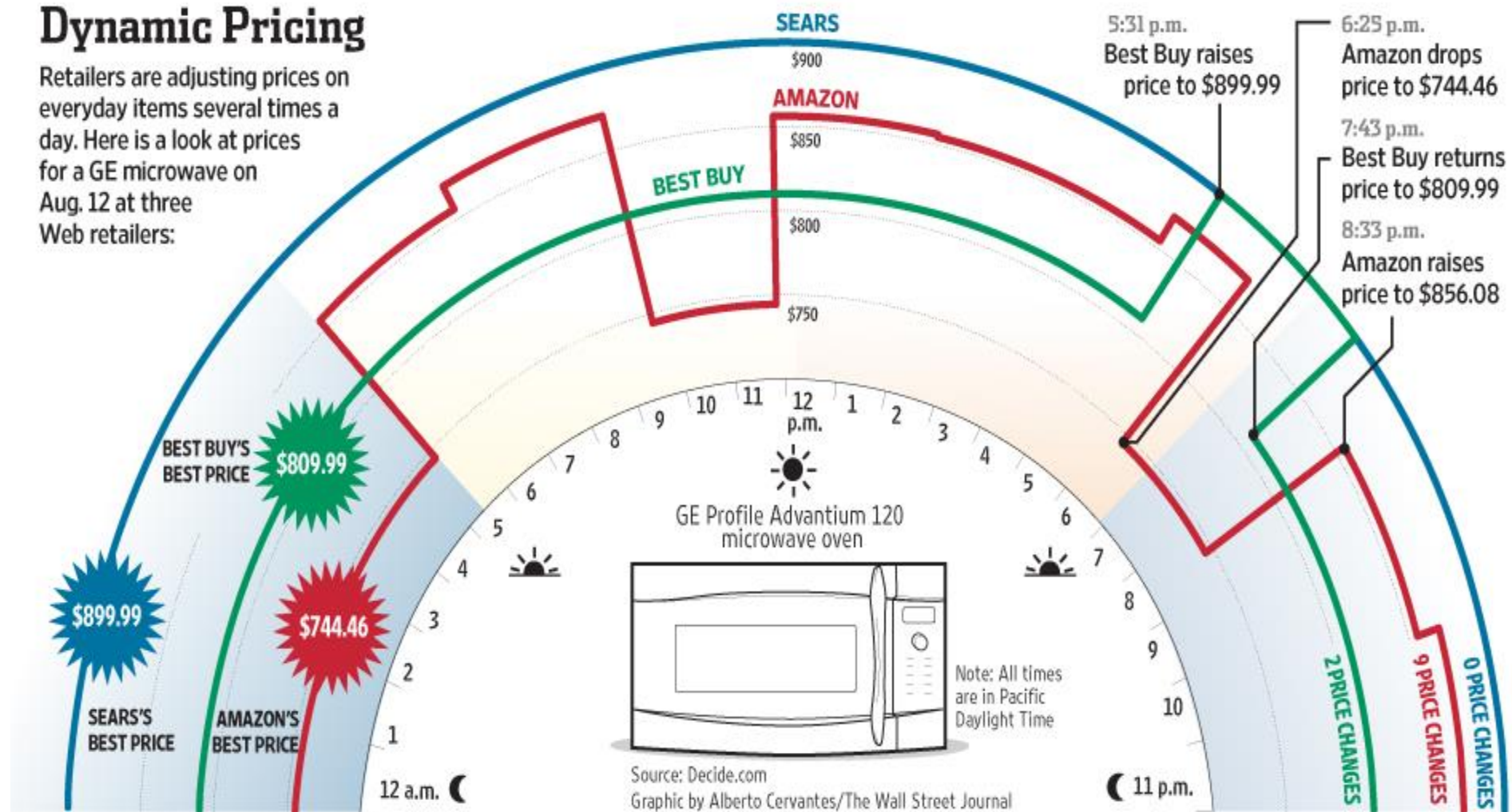
EX: New toll lanes on I-495 in DC, USA adjust pricing according to demand — the more traffic, the higher the toll.



EX: Utility companies charge electricity based on how busy the power plant are

5.2 Time of purchase

- Price higher when most of the shoppers are ready to buy



5.3 Time lapsed

Each sale that is made will result in a price increase, **the amount of the increase is based on the period of time that lapsed between sales**. A shorter time between transactions implies a higher demand, thus resulting in a larger rise. When time passes without a sale a random price reduction is triggered automatically.



HOME / GIFTS / UNIQUE WHISKY

Springbank 24 Year Old (Maltman, 2017)



\$1,693.00

50+ Customers have recently purchased

The first offering on the Whisky Foundation Reserve is one to remember. This iconic 24 year old bottle is sure to be a standout among your collection. A new Springbank 24 Year Old that was bottled by The Maltman in 2017. It's a single cask whisky that comes in at 47.3%. We just had to get our hands on this so that you can too.

Prices Can Change Rapidly. Set An Alert

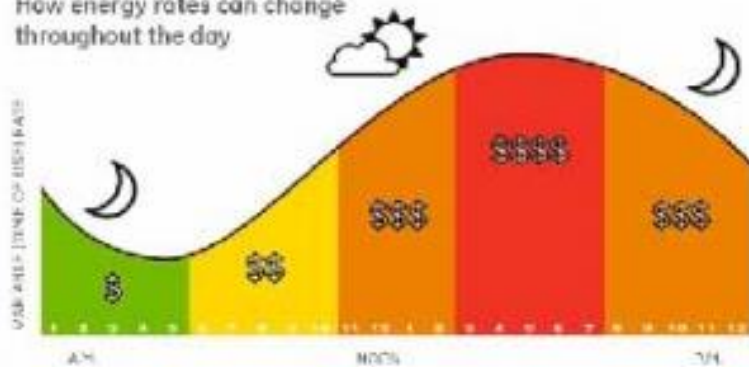
If you'd like to get notified when the price hits your desired level, [click here](#) to set an alert.

5.4 Temperature



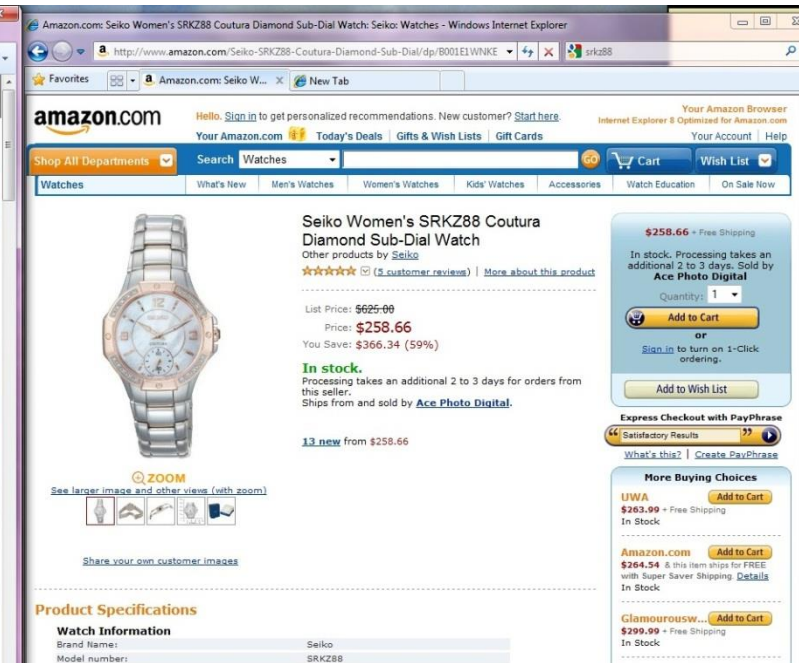
- In 1999, Coca-Cola quietly tested a vending machine that automatically raise prices in hot weather.
 - Hot $\rightarrow$ higher demand $\rightarrow$ Higher price/profit
 - Cold $\rightarrow$ lower demand $\rightarrow$ Lower price $\rightarrow$ induces sales $\rightarrow$ higher profit
- In 2012, vending machine for Coca-Cola's lemonade drink equipped with thermometers set up in amusement park
 - Temp up to 25° , the cans cost €2
 - Temp 26° - 29° , the cans cost €1.40
 - Temp reaches 30° , the cans cost €1

How energy rates can change throughout the day



5.5 Random Factors

- Amazon did price testing for elasticity on DVD. It varied prices based on
 - which browser was used
 - whether a consumer was a repeat or first-time customer
 - which Internet service provider a customer was using
- Customers detected the different prices. They were angry.
- Amazon abandoned the test and refunded money to 6,900 customers.



Order subtotal: \$16.97
1 item in your Cart

 **Edit your Cart**

Proceed to checkout 



Important messages about other items in your Cart

1 item in your Cart has changed price.

Items in your Shopping Cart will always reflect the most recent price displayed on their product detail pages.

- Shaft Collection (Shaft / Shaft's Big Score / Shaft in Africa) has decreased from \$6.61 to \$6.55

What's the Deal?

Online travel brokers offer different prices depending on the customer's operating system, browser history and device.

Prices for overnight lodging



CheapTickets
ORBITZ

+



not
logged
on

= +\$12

Not being logged in to these sites causes some users to be charged more.



travelocity

+



iOS

= -\$15

Using iOS saves Travelocity customers money.



Hotels.com
The Obvious Choice™

+



= +10%

These sites show higher-priced hotels to some users at random.

Source: Northeastern University College of Computer
and Information Science, Personalization Research Group

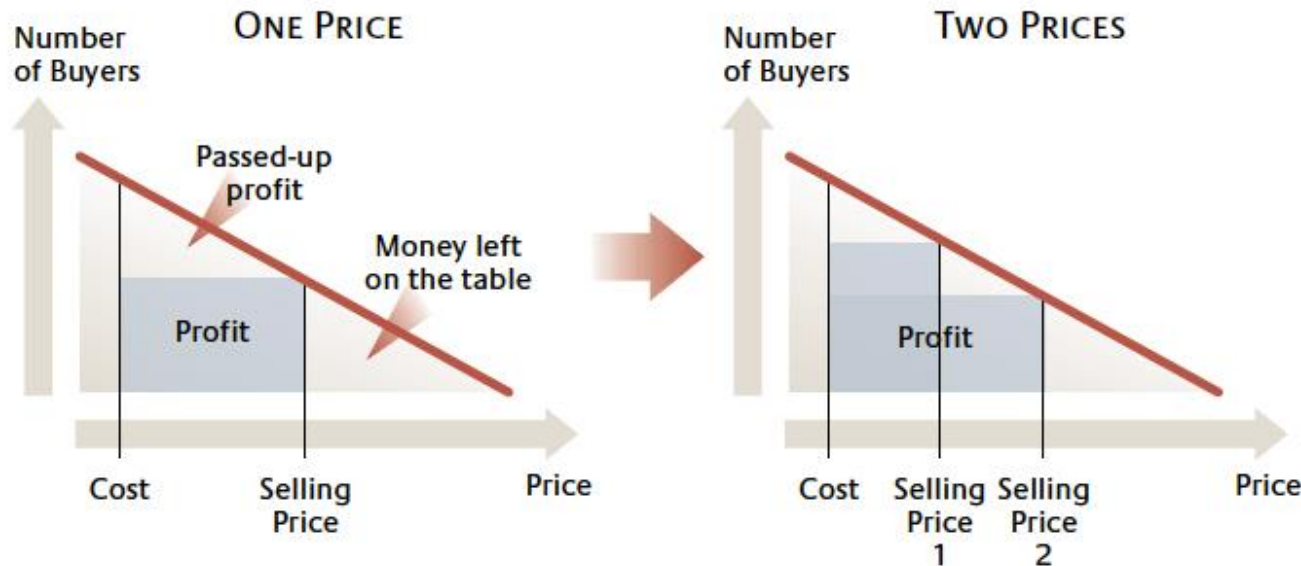
The Wall Street Journal

- Orbitz Travel: different product for different customers based on their operating systems
 - **Mac vs. PC users** have different purchasing behavior
 - Mac users are 40% more likely to book more expensive room/hotels and spend 30% more a night on hotels
 - Orbitz adjusts the search results. Hotels on the first page of the Mac search were about 11% higher than on the PC
 - Forrester Research and Shop.org said users of tablets esp. **iPad users** pay more than users of laptop or PCs
 - **iPhones** outspend shoppers using Android devices
 - Average household income for adult owners of Mac computers is \$98,560, compared with \$74,452 for a PC owner

Benefits of Dynamic Pricing

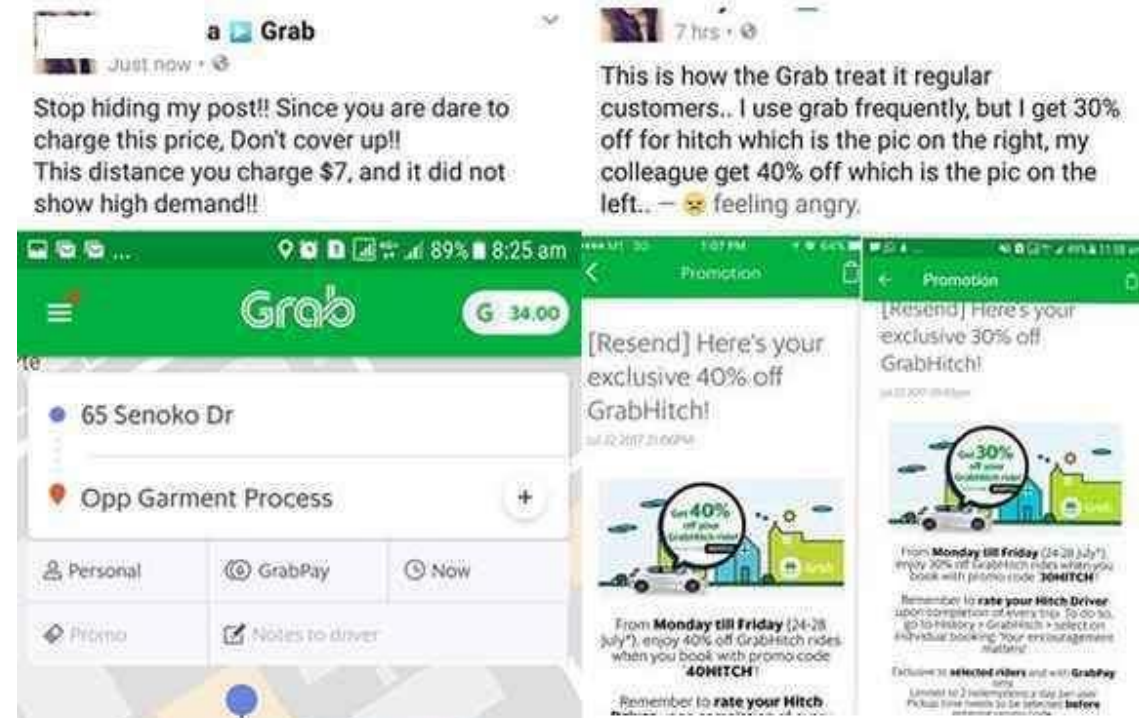
Advantages

- Reap profit in high demand, increase sales in low demand
- Reap more profit by addressing unmet demands or those willing to pay more
 - Dynamic pricing is found to increase revenue by 8% and profit by 25%



Disadvantages

- Requires complex algorithm which may not always work
- Consumers perceive it as unfair
- Not suitable with all products (if costs, availability, competitor's prices, demand drivers are stable, no need to change)



Opportunistic pricing

Pricing a product or service which takes an advantage of a given situation when products and services are high in demand but low in supply

- A mask during Covid-19 pandemic
- Umbrellas in a rainstorm
- Concert tickets



When to use this strategy:

- for products where demand exceeds supply: this may **only be temporary**
- when you can advertise to customers the premium product; the premium price adds to the message

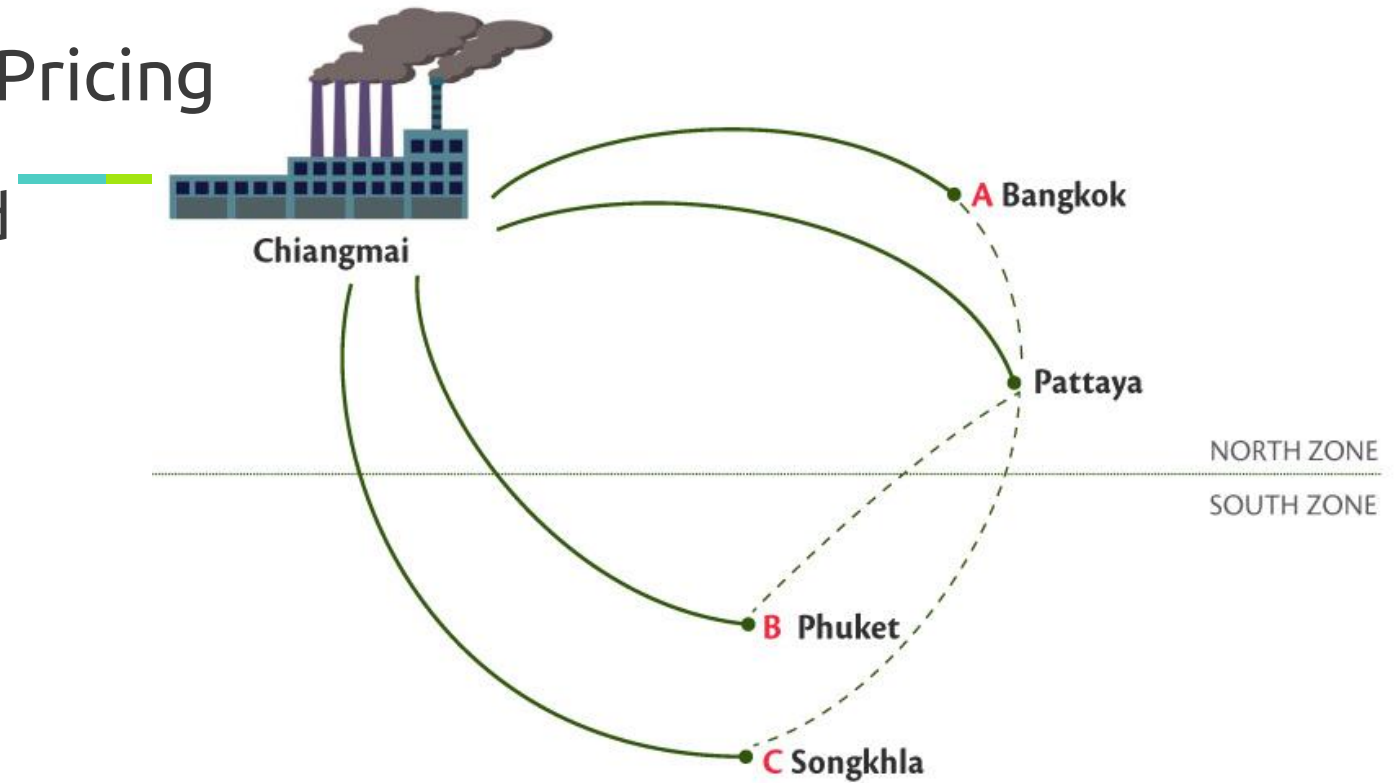
When not to use this strategy:

- if there are other suppliers in the same market

6. Geographical Pricing

Setting prices for customers located in different parts of the country or world.

1. **FOB-origin pricing (free or board):** customers pay its own shipping fees
2. **Uniform-delivered pricing:** same shipping fees
3. **Zone pricing:** same price within the zone.
4. **Basing-point pricing:** different shipping fees from the basing point city to the customer.
5. **Freight-absorption pricing:** seller absorb all or part of the shipping fees



	A	B	C
FOB-origin pricing	\$100 + \$10	\$100 + \$15	\$100 + \$25
Uniform-delivered pricing	\$100 + \$15	\$100 + \$15	\$100 + \$15
Zone-pricing	\$100 + \$10	\$100 + \$15	
Basing-point pricing	\$100 + cost of shipping from Pattaya		
Freight-absorption pricing	\$100	\$100	\$100

7. International Pricing



- Companies marketing products internationally must decide what prices to charge in different countries in which they operate
 - In some cases, a company can set a uniform worldwide price
 - Most cases, prices are adjusted to reflect local market conditions and costs.
 - Gucci \$140 (Italy) vs. \$240 (USA)
 - Levi \$30 (USA) vs. \$63 (Tokyo) \$88 (Paris)
 - Economic conditions: developed vs. developing countries
 - Unilever India set a price even those living on \$2 can afford → single-use pack of everything (shampoo, detergent, costing just pennies a pack)
 - Competitive situation: strength of local/global firms
 - Laws / regulations: government control, competition act, import tax
 - Distribution system
 - Consumer perceptions/behaviors: IKEA in China
 - Operational & Selling costs, shipping, tariffs & taxes, exchange rate
 - Marketing objectives that vary in various world markets
- 

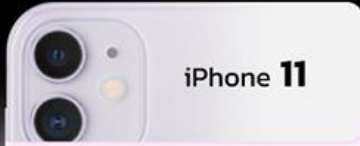
A Starbucks Grande Latte

Oslo	\$9.83
Stockholm	\$7.40
Moscow	\$7.27
Zurich	\$7.12
Helsinki	\$6.38
Athens	\$5.84
Brussels	\$5.65
Frankfurt	\$5.53
Paris	\$5.18
Sydney	\$4.82
Beijing	\$4.81
Madrid	\$4.65
Seoul	\$4.54
Tokyo	\$4.49



Dublin	\$4.38
New York City	\$4.30
Sao Paulo	\$4.23
Buenos Aires	\$4.18
Toronto	\$4.08
Lisbon	\$4.05
Istanbul	\$3.92
Hong Kong	\$3.87
Atlanta	\$3.83
London	\$3.81
Detroit	\$3.55
San Francisco	\$3.55
Mexico City	\$3.22
New Delhi	\$2.50



		ราคา iPhone 11 ในแต่ละประเทศ			
ประเทศ					
	ญี่ปุ่น	20,944 บาท		29,904 บาท	
วันวางจำหน่าย 20/9/2019					
	สหรัฐอเมริกา	21,285 บาท		30,420 บาท	
20/9/2019					
	ฮ่องกง	23,336 บาท		33,450 บาท	
20/9/2019					
	จีน	23,646 บาท		37,406 บาท	
20/9/2019					
	ไทย	24,900 บาท		35,900 บาท	
ยังไม่กำหนด					
	สิงคโปร์	25,450 บาท		36,525 บาท	
20/9/2019					
	สหราชอาณาจักร	27,359 บาท		39,369 บาท	
20/9/2019					
	อินเดีย	27,907 บาท		42,957 บาท	
27/9/2019					
รู้หรือไม่?		ถ้าซื้อโทรศัพท์ที่ญี่ปุ่นจะไม่สามารถปิดเสียงแจ้งเตือนรูปได้ เนื่องจากมีกฎหมายป้องกันการแอบถ่าย			
ที่มา: เว็บไซต์ Apple แต่ละประเทศ, Beartai		FX Rate: ณ วันที่ 12/9/2019			

(PART A)		Your example/s?
1	Discounts on product/service use on particular days of the week.	
2	Discounts on product/service use at particular times of the day.	
3	Discounts for buying in bulk (large quantities).	
4	Short-term discounts (say for 30 minutes) on one product only.	
5	Discounts, for one day only, on all products in the store.	
6	Discounts based on the age of the customer.	
7	Discounts based on the loyalty of the customer (for regular customers).	
8	Differentiated prices for where you are sitting in a venue.	
9	Differentiated prices for the level of service received (that is, basic or full-service).	
10	Discounts based on when you pay (that is, early payment discounts).	

Payment and subscription

Payment and Subscription Strategies:

- **Installment Plans:** Spreading the cost of a high-ticket item over multiple payments to make it more accessible to customers.
- **Pay-as-you-Go Pricing:** Charging customers only for what they use, ideal for digital products or services with variable usage.
- **Freemium Pricing Strategy:** Offering a basic version of your product or service for free with the option to upgrade to a premium version with more features.
- **Subscription Pricing:** Offering access to a product or service for a recurring fee, often with different tiers and pricing options.

Pricing

Growing Business

Up your email marketing game with features for professional senders. MailChimp will scale with you as your business grows.

Pay as you go
\$30.00 one time
1,000 email credits
[Sign Up Now](#)
[Or sign up free](#)

Email Credits

Email Credits	Price per email	Prepay amount
300	0.03	\$9.00
1,000	0.03	\$30.00
2,000	0.03	\$60.00
5,000	0.02	\$100.00
7,500	0.02	\$150.00

☐ MailChimp Pro Add-on [Learn more about Pro](#)

Type of Plan: Monthly **Pay as you go**

Go get the music.

Spotify Free
\$0.00 / month

- ✓ Shuffle play
- ✓ Ad free
- ✓ Unlimited skips
- ✓ Listen offline
- ✓ Play any track
- ✓ High quality audio

[GET FREE](#)

Spotify Premium
\$0.99 / 3 months
Only \$9.99/month after.
Family and Student offers available

- ✓ Shuffle play
- ✓ Ad free
- ✓ Unlimited skips
- ✓ Listen offline
- ✓ Play any track
- ✓ High quality audio

[GET PREMIUM](#)

Freemium Business Model:
Why It Works and How to Do It Right

SEASONED TICKETS

**FOR ONLY \$75 YOU GET
48 GAME DAY WINGS
EVERY WEEK FOR 10 WEEKS**

Suggested Admission

The amount you pay is up to you

Adults	\$25
Seniors (65 and over)	\$17
Students	\$12
Members and Patrons	Free
Children (under 12)	Free

Please be as generous as you can.

Additional strategy

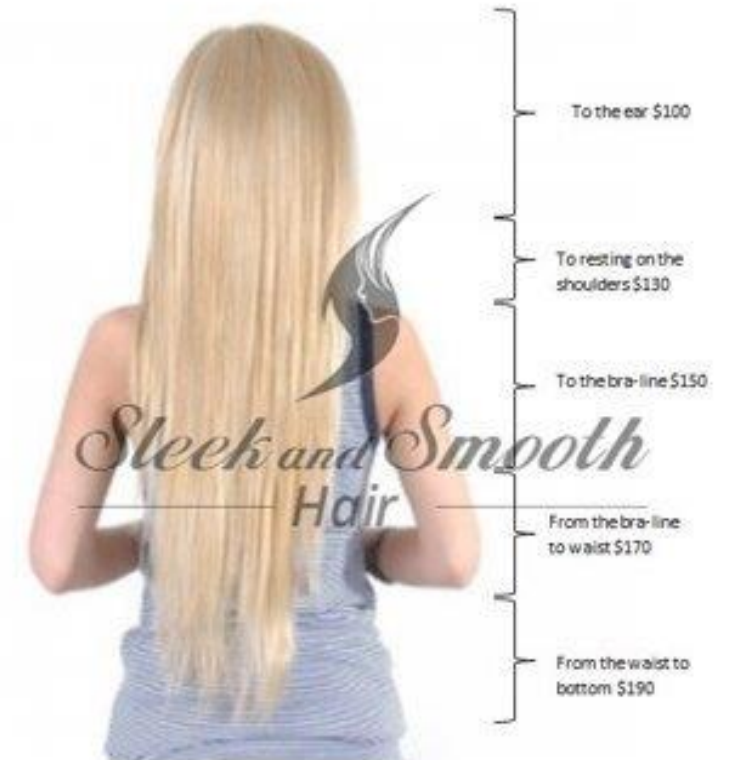
Unit Pricing: This tactic involves setting prices based on a specific unit of measurement.

- **Quantity Sold:** Pricing a product based on the number of units purchased (e.g., \$10 per apple).
- **Rate per Hour:** Charging for a service based on the time spent (e.g., \$50 per hour for consulting).
- **Weight:** Pricing a product based on its weight (e.g., \$2 per pound of bananas).
- **Length:** Pricing a product or service based on its length (e.g., \$1 per foot of lumber).



85 THB/g.

Explore new price metrics (quantity sold, rate per hour, weight, length)



Mixed tactics

- **Variable pricing:** Price varies with country, type of visit, type of visa, length of visit
 - Regular Visa appointment (15 days)(short visit): USD136
- **Tiered service level pricing**
 - Priority Visa appointment (3-5 days): +9313
 - Super Priority Visa appointment: +THB 40,468
 - Passport passback service: +THB 2650
- **Add-on pricing**
 - Prime Time appointment (Saturday, weekday afternoon): +THB 3450
 - Personalized service +THB 4000
 - Mobile visa application centre +THB 3800
 - Premium Lounge appointment: +THB 3400
 - Walk-in without appointment +THB 1560
 - Document scanning service +THB 460
 - Courier service / Thai Post EMS Service: +THB 250
 - SMS service: +THB 80
- **Bundle:** Package price: Platinum 4290, Gold Plus premium 4030, Gold premium 3480, Silver premium 760, Bronze premium 350



Introducing our new 'Mobile Visa Application Centre', the first-of-its-kind customised visa application facility 'on wheels'.

Common Pricing Mistakes



Many companies do not handle pricing well

- Determine costs and take traditional industry margins (too cost-oriented)
 - Setting price independently of the rest of the marketing mix
 - Failure to revise price to capitalize on market changes
 - Failure to vary price by product item, market segment, distribution channels, and purchase occasion
- 